

PORTFOLIO PROPOSAL · CONFIDENTIAL

Asset Allocation Proposal

USD 3,000,000 Portfolio · UOB Account

Long-term strategic allocation + phased entry plan for the current stage

Tailored to client requirements · Data as of July 1, 2026

July 2026

Summary of Client Requirements

1. Long-Term Benchmark Allocation

USD money market fund 10%

Gold ETF 20%

Bond fund 20%

Nasdaq-100 ETF 20%

S&P 500 ETF 30%

2. Current-Stage Operating Strategy (client's original requests)

1

Valuation US equities are richly valued; buy at most an initial 5% of the Nasdaq-100 / S&P 500 ETFs (or none), parking the rest in the USD money market fund

2

Buy the dip Consider buying once the Nasdaq-100 or S&P 500 pulls back 15%–20% from its recent high

3

Gold trigger The gold ETF may be bought below USD 4,000/oz

4

Bond approach Consider a ~5-year medium-duration US Treasury ETF, bought in tranches; assess the impact of US rate-hike expectations

5

Screening For every asset class, select products with low fees and good liquidity

Macro Environment (Mid-2026)

3.50–3.75%

Fed funds target range

Held at the June FOMC; new Chair Warsh leans hawkish and the easing bias has been removed

73–88%

Market-implied odds of 2026 H2 hikes

CME FedWatch: ~73% Sep, ~81% Oct, ~88% Dec; BofA forecasts +75bp to 4.25–4.50% by year-end

\$4,067

Spot gold price (USD/oz)

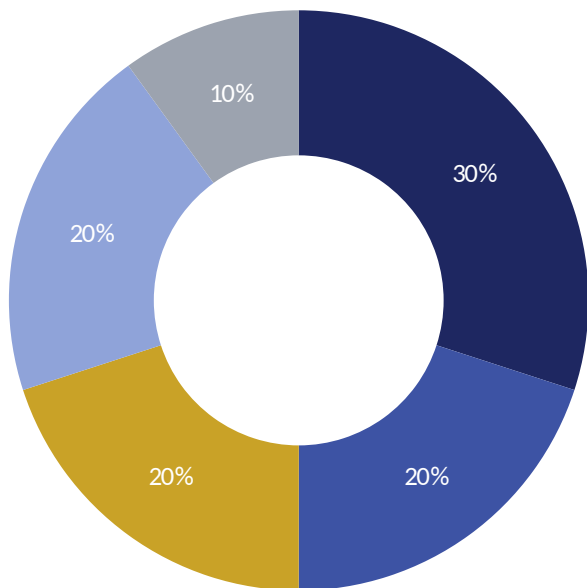
Pulling back from highs — only ~1.7% above the client's \$4,000 buy line, in its weakest quarter in 13 years

20.1x

S&P 500 forward P/E

Above the 10-yr average of 19.0x; index ~7,440; Nasdaq-100 hit a record ~30,660 in early June

Long-Term Benchmark: USD 3,000,000



■ S&P 500 (SPY) ■ Nasdaq-100 (QQQ) ■ Bond ETFs
■ Gold ETF ■ Money market

Asset class	Recommended vehicle	Weight	Amount (USD)
S&P 500 ETF	SPY	30%	900,000
Nasdaq-100 ETF	QQQ	20%	600,000
Bond ETFs	BND / VCIT (see comparison)	20%	600,000
Gold ETF	GLDM (or IAU)	20%	600,000
USD money market	SGOV (0-3M T-bill ETF)	10%	300,000
Total		100%	3,000,000

Note: the 50/20/20/10 equity/bond/gold/cash structure balances growth, income and defence; the 50% equity sleeve is the portfolio's primary long-term return driver.

Equity ETFs: SPY and QQQ

SPY • SPDR S&P 500 ETF

30% • \$900,000

Index S&P 500 (500 US large caps)

Expense ratio 0.0945%

Liquidity The world's most heavily traded ETF; razor-thin spreads and the deepest options market

Role Core growth engine with broad sector diversification

QQQ • Invesco Nasdaq-100 ETF

20% • \$600,000

Index Nasdaq-100 (tech / growth leaders)

Expense ratio 0.20%

Liquidity Second most active broad-market ETF globally; excellent options liquidity

Role Captures the AI / technology growth theme; higher volatility than SPY

Fee optimisation: For a long-term holder who doesn't need options, VOO (0.03%) can replace SPY and QQQM (0.15%) can replace QQQ — same indices, lower fees; SPY/QQQ win on liquidity and execution.

Bond ETF Comparison: VCIT / BND / AGG / IEF

Metric	VCIT	BND	AGG	IEF
Holdings	IG corporate bonds (5–10 yr)	Total IG bond market (Tsy + corp + MBS)	Total IG bond market (Tsy + corp + MBS)	US Treasuries only (7–10 yr)
Expense ratio	0.03%	0.03%	0.03%	0.15%
30-day SEC yield	≈4.75%	≈3.94%	≈3.9%	≈4.29%
Effective duration	≈6.2 yr	≈6.0 yr	≈6.0 yr	≈7.0 yr
Credit risk	Yes (corporates)	Low (diversified)	Low (diversified)	None (Treasuries)
Liquidity	Very good	Excellent	Excellent	Excellent
Est. NAV impact, rates +100bp	≈ -6.2%	≈ -6.0%	≈ -6.0%	≈ -7.0%

Conclusion: Balancing cost, yield and diversification, we recommend BND as the core (~12%) plus VCIT for yield enhancement (~8%). For a pure-Treasury sleeve choose IEF, noting its ~7-yr duration is more volatile in a hiking cycle. All four run longer than the client's 5-yr target — for a strict match to a "5-yr medium-duration Treasury", consider IEI (3–7 yr Treasuries, duration ≈4.3 yr, yield ≈3.76%).

US Rate-Hike Expectations (Client Question 4)

The rate regime has flipped from cuts to hikes

- After 175bp of cuts in 2024–2025, the Fed turned hawkish in 2026: the easing bias was removed at the June meeting, with inflation still above the 2% target on Middle East tensions and energy prices
- Futures pricing: ~73% odds of a September hike; policy rate near ~4% by year-end; BofA forecasts +75bp to 4.25–4.50%
- The 10-year Treasury yield has risen to ~4.7%, the highest since May 2025

Three implications for bond entry

Near-term NAV pressure

Every +100bp in rates costs a medium-duration bond ETF roughly 6–7% of NAV — do not deploy in one go

Tranching is the right call

Buy in 3 tranches of ~\$200k each, straddling the Sep / Oct / Dec FOMC meetings; once hikes land, yields — and entry points — are better

Waiting is paid

Undeployed cash parked in SGOV earns ~3.5–3.9% annualised, and money-market yields rise further if the Fed hikes

Gold ETF Selection and Entry Timing

Metric	GLDM (rec.)	IAU	GLD
Expense ratio	0.10%	0.25%	0.40%
AUM	≈\$27.6bn	≈\$61bn	≈\$141.7bn
Liquidity	Good	Very good	Deepest
Best for	Long-term hold, lowest cost	Cost / liquidity balance	Large, frequent trades / options

All three hold physical bullion tracking the LBMA gold price with ≈ 1.00 correlation; for a long-term hold the fee gap drives net returns — hence GLDM.

Entry timing

\$4,067

Current gold price (USD/oz) — only $\sim 1.7\%$ above the client's \$4,000 buy line

- Below \$4,000: buy first 10% (\$300k)
- Below \$3,850: complete the 20% (\$600k)
- If gold stays above \$4,000, park the cash in SGOV and wait — do not chase

USD Money Market: SGOV

SGOV • iShares 0–3 Month Treasury Bond ETF

Expense ratio 0.09% (among the lowest in class)

30-day SEC yield ≈3.55% (trailing 12-month distribution ≈3.85%)

Holdings 0–3 month US T-bills; near-zero rate and credit risk

Scale / liquidity ≈\$96bn AUM, monthly distributions, excellent liquidity

Alternative BIL (0.14% fee) is similar; SGOV is the better choice

Dual role in the portfolio

1. Benchmark allocation, 10%

A permanent \$300k liquidity reserve, available at any time

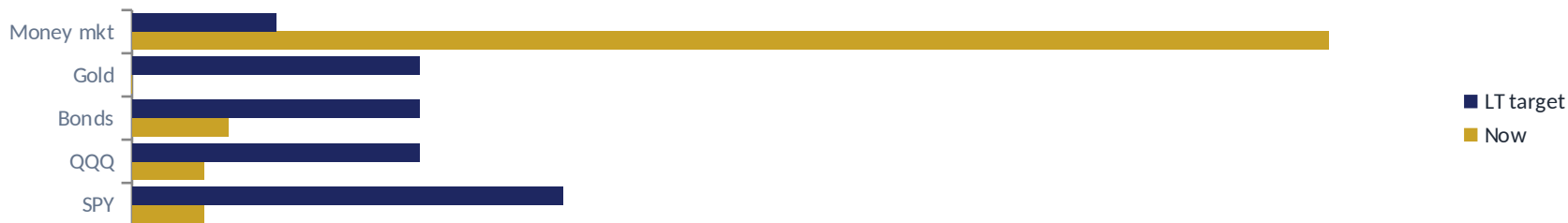
2. Tactical "reservoir"

Currently warehouses ~\$2.2m of capital awaiting deployment (equities 40% + gold 20% + later bond tranches) — earning ~3.5–3.9% annualised while waiting for entry points; yields rise further if the Fed hikes

PHASE 1

Current-Stage Allocation (Execute Now)

Asset / vehicle	LT target	Now	Amount (USD)	Notes
SPY • S&P 500	30%	5%	150,000	Starter position; add on pullbacks per triggers
QQQ • Nasdaq-100	20%	5%	150,000	Starter position; add on pullbacks per triggers
Bonds (BND+VCIT)	20%	6.7%	200,000	Tranche 1 of 3; later tranches straddle FOMC meetings
Gold • GLDM	20%	0%	0	Gold at \$4,067 is still above \$4,000; buy in stages once triggered
Money market • SGOV	10%	83.3%	2,500,000	\$300k benchmark + \$2.2m deployment reservoir



Phased-Entry Trigger Conditions

Asset	Reference high / condition	Trigger 1 (add)	Trigger 2 (complete)
S&P 500 / SPY	Index $\approx$ 7,440	-15% $\rightarrow$ $\approx$ 6,325 Add to 2/3 of target ($\approx$ 20% cum.)	-20% $\rightarrow$ $\approx$ 5,950 Complete to 30%
Nasdaq-100 / QQQ	High $\approx$ 30,660	-15% $\rightarrow$ $\approx$ 26,060 Add to 2/3 of target ($\approx$ 13% cum.)	-20% $\rightarrow$ $\approx$ 24,530 Complete to 20%
Gold / GLDM	Spot \$4,067	Below \$4,000 Buy 10% (\$300k)	Below \$3,850 Complete to 20% (\$600k)
Bonds / BND+VCIT	Tranche-based (not price-triggered)	Tranche 2, \$200k: after Sep–Oct FOMC	Tranche 3, \$200k: after Dec FOMC, or earlier if 10-yr yield $\geq$ 5%

Discipline: Execute mechanically when triggers hit — no second-guessing. If nothing triggers within 12 months, re-assess the benchmark against valuations and the rate environment rather than leaving capital idle indefinitely.

Implementation Roadmap

1

Now
July 2026

Account setup & initial buys

Buy SPY 5% + QQQ 5% + bond tranche 1 (\$200k); park remaining \$2.5m in SGOV; set price alerts on gold and both indices

2

Q3
Jul-Sep

Monitor & execute triggers

Watch the Jul / Sep FOMC; start the gold programme if spot breaks \$4,000; add equities per the trigger table on any pullback

3

Q4
Oct-Dec

Complete bond tranches

Execute bond tranche 2 after the Oct FOMC and tranche 3 after the Dec FOMC; year-end progress review

4

From 2027

Rebalancing regime

Review every six months; rebalance back to benchmark whenever any asset drifts $\pm 5\%$ from target

RISKS & DISCLAIMER

Risk Disclosure & Disclaimer

Market risk

Equity, gold and bond prices can all fall sharply; pullback triggers are a discipline tool and do not guarantee lower entry prices or protection from loss

Opportunity cost

If markets keep rising and triggers never fire, a large cash weighting will drag on returns — hence the scheduled re-assessment

Rate risk

If hikes exceed expectations, bond ETF NAVs may fall further; tranching mitigates but does not eliminate this risk

FX and tax

USD-denominated assets carry currency exposure; US-listed ETFs raise dividend withholding tax and US estate-tax considerations — confirm with a tax adviser

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